

War economy

With the outbreak of the Japan-China War in 1937, the economy was completely transformed for war execution. One by one, new measures were introduced to control and mobilize people, enterprises, and resources. Most Japanese firms remained privately-owned but were heavily regulated to contribute to the war effort. Key components of the war economy included the following:

1937 The Planning Board (kikakuin) was created. This board, directly under the Prime Minister, was responsible for comprehensive policy design for wartime resource mobilization.

1938 The Planning Board issued the Resource Mobilization Plan, which was Japan's first economic plan. In the same year, the National Mobilization Law was also approved.

1940 The New Regime Movement of the Kono Cabinet. This movement was initiated in response to the Japanese invasion of Southeast Asia and German victories in Europe.

1943 The Military Needs Company Act was adopted. Designated private companies were placed under official control. The government approved top management and production plans and imposed penalties for non-compliance.

The primary objective of economic planners was to maximize military production with the limited domestic resources and possibility of imports. Key military products were ships and warplanes. Toward the end of the war, airplane production became the only priority. In order to boost heavy industries, consumption was greatly squeezed and light industries were strongly suppressed. The textiles industry, previously the leading industry of Japan, was virtually eliminated. People were forced to live without new supplies of clothes and footwear. Steel products in structures and households were stripped and used as the metal source for building more airplanes and ships. As the war continued, food rationing, forced enterprise mergers, and forced factory labor were adopted in increasing intensity. At first, the two crucial variables in wartime planning were foreign exchange reserves and the availability of energy and raw materials. Until around 1940, the question was how to maximize military output subject to these two constraints. But after 1940, Japan could no longer trade with other countries and the problem shifted to the physical transportation of natural resources from the Japanese colonies and occupied areas to mainland Japan.

The main economic reason for Japan's defeat was the collapse of its war economy due to the lack of material and energy inputs. Japan lost virtually all its means of sea transport and could not bring industrial inputs from its colonies and occupied areas.

Translative adaptation:

The idea of translative adaptation is proposed by Keiji Maegawa, an economic anthropologist at Tsukuba University.

When a country in the periphery joins the world system, it may look as if the country is being absorbed in the dominant international order. It looks as if the country is forced to abandon its traditional culture, systems, social structure and so on, which are considered "backward," in order to embrace the "international best practice." Viewed from inside the country in the process of "being absorbed," however, the situation is not always passive. In a proper integration process, Maegawa says that the country should take initiative in deciding the terms of integration, making sure that it can retain ownership (national autonomy), social continuity and national identity. The country changes, but the change is managed by its government and people and not by foreign firms or organizations. Foreign ideas and systems are introduced not in the original form but with modifications to fit local needs. If this is achieved, the transformed country is not really so weak or passive. It is taking advantage of external stimuli to change and grow. This is called "translative adaptation."

Japan's Success:

The traditional view of Japan as a backward country is wrong. There is an argument that Japan and Western Europe are two very unique societies in the world. Both are located on the periphery of the huge Eurasian Continent. Both enjoy a temperate climate. More importantly, they are relatively insulated from violent invasions by nomadic peoples residing in the central dry areas of the Eurasian Continent. These geographic and climatic advantages are crucial for the spontaneous and continuous development of society. Japan and the United Kingdom are particularly similar in that they are island nations just off the continent.

They mixed domestic culture and foreign impact properly, without being wiped out and having to start over again from scratch. Under these similar historical conditions, Japan and Western Europe developed independently and in parallel—from centralized imperialism to power decentralization, establishing feudalism, then absolutism, and finally capitalism.

In particular, this theory can explain why Japan had a unique social structure suitable for industrialization, which is not observable in other countries, even before its encounter with the West. This was the result of the uninterrupted organic evolution of the Japanese society over the two millennia. It permitted Japan to absorb new foreign influences flexibly in a multi-layered fashion and succeed in the translative adaptation of Western thought and technology.

